



**GNIOT Institute of Management Studies – PGDM (Batch 2022-24)**  
**(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2023**  
**Investment Analysis & Portfolio Management**

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

**INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

**SECTION-A****(Short Answer Type Questions, do not exceed 100 words)****Q.1. Write short notes on the following:****(10×3=30)**

- (a) What are the different aspects of investments?
- (b) Discuss the various features of Bond.
- (c) Examine the tax sheltered schemes available in the market.
- (d) Explain industry life cycle.
- (e) Mr. X purchased 100 shares of Rs. 10 each of XZ co. Ltd. In 2001 at Rs. 78 per share. The company has declared a dividend at the rate of 40% for the year 2004-05. The market price of share as at 1-04-2004 was Rs. 104 and on 31.03.2005 was Rs. 128. Calculate the annual return on the investment for the year 2004-05.
- (f) Explain anticipatory survey.
- (g) Discuss the Zero growth model and Constant Growth Model.
- (h) Define Convexity.
- (i) A company has issued debentures with interest rate of 12% p.a. at Rs. 120 face value of these is Rs.100. these are non redeemable. An investor who expected a return of 11% p.a. should he purchases it from the company? If these are available in the market at Rs. 102 then what will be your decision?
- (j) The equity share of a company is currently selling at Rs. 80. It is expected that the company will pay a dividend of Rs. 4 at the end of one year and share can be sold at a price of Rs. 88. Calculate the return on share. Should an investor buy it if the capitalization rate is 12%?

**SECTION-B****(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)**

**Q.2. (a)** What distinguishes marketable financial instruments from the non-marketable financial instruments. Support the comparison with an illustration.

**OR**

**(b).** Explain in detail the Elliot Wave theory and how is it used to determine the direction of stock market?

**Q.3. (a)** As a manager, you have been asked for your advice in selecting a portfolio of assets and have been given the following data:

| Expected return (%) |    |    |    |
|---------------------|----|----|----|
| Year                | A  | B  | C  |
| 2004                | 12 | 16 | 12 |
| 2005                | 14 | 14 | 14 |
| 2006                | 16 | 12 | 16 |

No probabilities have been supplied. You have been told that you can create two portfolios- one consisting of assets A & B and the other consisting of assets A & C by investing equal proportions ( 50%) in each of the two component assets.

Calculate the expected return for each of two portfolios.

**OR**

**(b)** “Stock markets are more efficient and less predictable”. Comment on and justify your answer

**Q.4. (a)** Differentiate between fundamental analysis and technical analysis.

**OR**

(b) Define Marko witch diversification. Also explain the relevance of efficient frontier.

**Q.5. (a).**Do formulae plans aid the investor in selecting appropriate securities? Explain.

**OR**

(b) What is Mutual fund? Explain different types of Mutual funds.

### **SECTION-C**

**Q.6. Attempt all parts of the following:**

**(2×15=30)**

**6(a)** The beta coefficient of Mayna Ltd.is 1.4. The company has been maintaining 8% rate of growth in dividends and earnings. The last dividend paid was Rs. 4 per share. Return on government securities is 10%.  $R_m=15\%$ . The current market price of one share of Mayna Ltd.Is Rs.36.

**i)** What will be the Equilibrium prices per share of Mayna Ltd.?

**ii)** Would you advice purchasing the share?

**6(b)** The financial details of the light company are given in the following table. Find out the specific reason for the stock prices to stagnate between 1997-1999.

| Particular                                           | 1999      | 1998      | 1997      | 1996      |
|------------------------------------------------------|-----------|-----------|-----------|-----------|
| Dividend per share                                   | Rs. 1.62  | Rs. 158   | Rs. 1.42  | Rs. 1.26  |
| Pay our rate ( DPS/EPS)                              | 53.8%     | 65.8%     | 39.3%     | 39.4%     |
| EPS                                                  | Rs. 3.01  | Rs. 2.40  | Rs. 3.61  | Rs. 3.2   |
| Book value /share                                    | Rs. 19.18 | Rs. 17.68 | Rs. 17.91 | Rs. 15.65 |
| Rate of Ret. On equity                               | 15.9%     | 13.6%     | 20.3%     | 20.4%     |
| Eff. Tax rate                                        | 67%       | 59%       | 61%       | 39%       |
| Rate of Return on assets                             | 13.2%     | 14.9%     | 17.2%     | 18.1%     |
| Profit margin                                        | 7.7%      | 8.3%      | 9.9%      | 10.3%     |
| GP Margin                                            | 57.5%     | 56.1%     | 53.9%     | 52.6%     |
| Total Asset turnover                                 | 1.7.      | 1.79      | 1.73      | 1.75      |
| Financial leverage( debt/equity)                     | 1.59      | 154       | 1.47      | 1.39      |
| Effective Interest rate                              | 6.5%      | 6.8%      | 6.3%      | 6.8%      |
| Stock price ( at year end) on March 31 <sup>st</sup> | Rs. 51    | Rs. 50    | Rs. 50    | Rs 36     |